

## NVIDIA Corporation

**Solid Results/Guide Despite China Restrictions;  
Blackwell Production/Deployment Ramp Progressing  
Well; Relying GB300 Ramp This Qtr; Reit OW**

2025 - Exel Institutional Investor  
All-America Equity Research Survey

**VOTE**

Voting Opens June 2<sup>nd</sup> - June 27<sup>th</sup>  
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NVIDIA reported solid Apr-Qtr revenues of \$44B (above ours/consensus estimates of \$43B) even with ~\$2.5B of lost H2O China GPU shipments due to China restrictions (restrictions to China went into effect on April 9th) while margins/EPS were impacted by the \$4.5B of H2O inventory write-downs/purchase commitments driving lower GMs (61% versus prior guide of 71%) and EPS of \$0.81 (versus consensus of \$0.93). For the Jul-Qtr, the team guided revenues to \$45B, below consensus (\$46B) as sell-side estimates did not accurately reflect the H2O shipment restrictions, but better than our expectations of \$41-\$43B taking into account the H2O restrictions. Ex-H2O shipments, we estimate that July quarter datacenter revenues are growing ~16% Q/Q on continued strong spending from its customers to support their AI/accelerated compute initiatives (both training/inference) and the continued strong production/deployment ramp of its Blackwell datacenter platform. Blackwell shipments are expected to continue to ramp higher through the year and the team remains on track to ramp its next-gen Blackwell Ultra (B300/GB300) near the end of this quarter. We still believe there is ~\$5B in H2O shipments that were scheduled for shipments in the 2H which will not be shipped due to April H2O restrictions. In Networking, revenues inflected strongly (Q/Q and Y/Y) in the April-Qtr as the team benefitted from strong networking (NVLink switch) content in NVL72 rackscale platforms (although TTM networking revenues are up only 37% versus compute revenues which are up 113% - we will continue to monitor the sustainability of the networking inflection closely). Demand for Blackwell is very strong and will continue to outstrip supply for several quarters, although the team and its value-chain partners are now shipping 1000 NVL72 racks per week -- strong production execution. GM guidance (72%) was 30 bpts above consensus expectations as the team aggressively ramps its higher margin Blackwell platforms on increasingly improving yield/cost dynamics. Given recent elimination of the diffusion rule and recent mega datacenter build-out announcements (UAE, Saudi Arabia, Taiwan, etc), we believe the team has good visibility for continued strong growth through CY26. Bottom line, the team continues to maintain a 1- 2 step lead ahead of competitors with its silicon/hardware/software platforms and a strong ecosystem, and the team is further distancing itself with its aggressive cadence of new product launches and more product segmentation over time. We adjust our forward estimates, introduce our CY26 estimates, and maintain our Dec-25 PT of \$170, and reiterate our OW rating.

## Overweight

NVDA, NVDA US  
Price (28 May 25):\$134.81

Price Target (Dec-25):\$170.00

## Semiconductors & Semiconductor Capital Equipment / IT Hardware

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## Key Changes (FYE Jan)

|                     | Prev | Cur  |
|---------------------|------|------|
| Adj. EPS - 26E (\$) | 4.42 | 4.27 |

## Quarterly Forecasts (FYE Jan)

| Adj. EPS (\$) | 2025A | 2026E | 2027E |
|---------------|-------|-------|-------|
| Q1            | 0.61  | 0.81A | 1.31  |
| Q2            | 0.68  | 0.99  | 1.33  |
| Q3            | 0.81  | 1.16  | 1.37  |
| Q4            | 0.89  | 1.31  | 1.39  |
| FY            | 2.99  | 4.27  | 5.39  |

## Style Exposure

| Quant Factors | Current | Hist %Rank (1=Top) |    |    |    |
|---------------|---------|--------------------|----|----|----|
|               | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value         | 79      | 83                 | 83 | 77 | 84 |
| Growth        | 18      | 8                  | 6  | 54 | 33 |
| Momentum      | 19      | 9                  | 5  | 56 | 5  |
| Quality       | 2       | 2                  | 2  | 10 | 10 |
| Low Vol       | 66      | 57                 | 60 | 55 | 55 |
| ESGQ          | 6       | 3                  | 13 | 10 | 3  |

Sources for: Style Exposure - J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

## See page 10 for analyst certification and important disclosures.

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## Price Performance



|     | YTD  | 1m    | 3m   | 12m   |
|-----|------|-------|------|-------|
| Abs | 0.4% | 24.0% | 7.9% | 18.4% |
| Rel | 0.3% | 17.5% | 9.0% | 7.4%  |

## Company Data

|                             |              |
|-----------------------------|--------------|
| Shares O/S (mn)             | 24,990       |
| 52-week range (\$)          | 153.13-86.62 |
| Market cap (\$ mn)          | 3,368,902.00 |
| Exchange rate               | 1.00         |
| Free float (%)              | 96.1%        |
| 3M ADV (mn)                 | 283.48       |
| 3M ADV (\$ mn)              | 32,076.9     |
| Volatility (90 Day)         | 71           |
| Index                       | S&P 500      |
| BBG ANR (Buy   Hold   Sell) | 68 9 1       |

## Key Metrics (FYE Jan)

| \$ in millions             | FY25A   | FY26E   | FY27E   |
|----------------------------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |
| Revenue                    | 130,497 | 196,571 | 229,888 |
| Adj. EBIT                  | 81,583  | 115,929 | 148,726 |
| Adj. EBITDA                | 82,007  | 116,353 | 149,150 |
| Adj. net income            | 74,266  | 104,473 | 131,855 |
| Adj. EPS                   | 2.99    | 4.27    | 5.39    |
| BBG EPS                    | 4.31    | 5.47    | -       |
| Cashflow from operations   | 64,091  | 104,726 | 132,122 |
| FCFF                       | 60,855  | 99,818  | 127,214 |
| <b>Margins and Growth</b>  |         |         |         |
| Revenue Growth Y/Y (%)     | 114.2%  | 50.6%   | 16.9%   |
| EBIT margin                | 62.5%   | 59.0%   | 64.7%   |
| EBIT Growth Y/Y (%)        | 146.7%  | 42.1%   | 28.3%   |
| EBITDA margin              | 62.8%   | 59.2%   | 64.9%   |
| EBITDA Growth Y/Y (%)      | 144.8%  | 41.9%   | 28.2%   |
| Net margin                 | 56.9%   | 53.1%   | 57.4%   |
| Adj. EPS growth            | 131.0%  | 42.5%   | 26.4%   |
| <b>Ratios</b>              |         |         |         |
| Adj. tax rate              | 13.4%   | 16.1%   | 16.5%   |
| Interest cover             | -       | -       | -       |
| Net debt/Equity            | NM      | NM      | NM      |
| Net debt/EBITDA            | NM      | NM      | NM      |
| ROE                        | 121.4%  | 86.6%   | 58.9%   |
| <b>Valuation</b>           |         |         |         |
| FCFF yield                 | 1.8%    | 3.0%    | 3.9%    |
| Dividend yield             | 0.0%    | 0.0%    | 0.0%    |
| EV/Revenue                 | 25.5    | 16.6    | 13.7    |
| EV/EBITDA                  | 40.7    | 28.0    | 21.0    |
| Adj. P/E                   | 45.0    | 31.6    | 25.0    |

## Summary Investment Thesis and Valuation

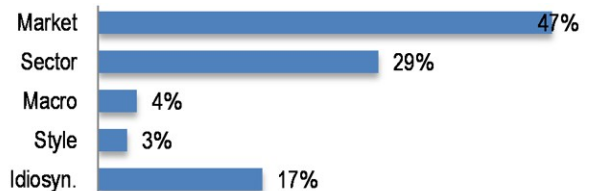
### Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

### Valuation

Our Dec-25 PT of \$170 assumes the stock trades at 30-35x \$5.39 of earnings power in CY26. Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

## Performance Drivers



| Factors                 | 6M Corr | 1Y Corr |
|-------------------------|---------|---------|
| Market: MSCI US         | 0.72    | 0.72    |
| Sect: Technology        | 0.75    | 0.77    |
| Ind: Semicond & S Equip | 0.94    | 0.95    |
| <b>Macro:</b>           |         |         |
| US 10yr Breakeven       | -0.25   | -0.18   |
| Credit Spread           | 0.30    | 0.14    |
| Non-Energy Commodity    | -0.06   | 0.12    |
| <b>Quant Styles:</b>    |         |         |
| Size                    | 0.32    | 0.33    |
| DivYld                  | -0.33   | -0.32   |
| Momentum                | 0.25    | 0.31    |

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

- **F1Q26 (Apr-Qtr) revenue results better than consensus despite H2O China GPU shipment restrictions towards the end of the quarter.....** NVIDIA reported F1Q26 revenue of \$44B (up ~12% Q/Q), above consensus (\$43.31B) despite \$2.4B of lost H2O GPU shipments to China (restrictions to China went into effect on April 9th) while margins/EPS were impacted by the \$4.5B of H2O inventory write-downs/purchase commitments driving lower GMs (61% versus prior guide of 71%) and EPS of \$0.81 (versus consensus of \$0.93). Datacenter revenue grew ~10% Q/Q on increasing Blackwell production ramp (DataCenter Compute up ~5% Q/Q), partially offset by lower H2O shipments. Networking, up ~64% Q/Q, on Spectrum X ethernet/NVLink switch ramp. Gaming revenues were up ~48% Q/Q on improving supply and the RTX 50-series ramp. Pro Vis was flat Q/Q. Auto was down ~1% Q/Q. GM of 61% was below consensus (71.1%) due to H2O GPU inventory /purchase commitment write-downs. EPS of \$0.81 was below consensus (\$0.93) on the lower GMs (EPS would have come in at \$0.96 ex H2O charges)
- **F2Q26 (Jul-Qtr) guidance of \$45B in revenues better than our expectations of \$41-\$43B including loss of \$8B in H2O shipments .....we estimate another \$5B of H2O GPUs were scheduled to ship in the 2H will not be shipping due to the restrictions.....but should be offset by a stronger blackwell/blackwell ultra ramp in the 2H.** For the Jul-Qtr, the team guided revenues to \$45B, below consensus (\$46B) as sell-side estimates did not accurately reflect the H2O shipment restrictions, but better than our expectations of \$41-\$43B taking into account the H2O restrictions. Ex-H2O shipments, we estimate that July quarter datacenter revenues are growing ~16% Q/Q on continued strong spending from its customers to support their AI/accelerated compute initiatives (both training/inference) and the continued strong production/deployment ramp of its Blackwell datacenter platform. GM is expected to be 72%, above consensus by about 30 bpts as the team continues to scale its shipments higher and drives costs/yields lower. OpEx is guided to \$4B. Implied EPS is \$0.99, slightly below consensus of \$1.01.
- **Blackwell production ramps progressing well...and the team continues to unlock Blackwell supply; good job at addressing DeepSeek AI model innovations....** We believe the team did a good job on addressing AI model innovations like DeepSeek and they continue to believe (as we do) that there are multiple phases and innovations in models that will drive overall compute complexity higher (test time inferencing, reinforced learning with AI/synthetic data, agentic AI, and new model variations like WFMs, multi-modal models, etc.) and sustain the demand for more and higher performance compute infrastructure. The team remains on track to ramp its next-gen Blackwell Ultra platform in the 2H of this year and overall continues to be in a tight supply environment over the next several quarters.
- **Adjusting forward estimates and maintaining our Dec-25 PT at \$170.** We adjust our forward estimates on in-line revenues but lower 1H margins (due to H2O write-downs), initiate our CY26 EPS estimates, and maintain our PT of \$170. We remain Overweight NVDA. Our PT assumes that NVIDIA trades at a 30-35x multiple applied to ~\$5.39 of earnings power in CY26.

**Table 1: NVIDIA F1Q26 (Apr-Qtr) Earnings and F2Q26 (Jul-Qtr) Outlook**

\$ in millions, except per share data

|                                | F1Q26 (Apr-Q) |          |          |           | F2Q26E (Jul-Q) |           |
|--------------------------------|---------------|----------|----------|-----------|----------------|-----------|
|                                | Actual        | JPM Est  | Diff     | Consensus | Guidance       | Consensus |
| <b>Revenue (\$M)</b>           | \$44,062      | \$43,000 | \$1,062  | \$43,313  | \$45,000       | \$46,275  |
| Q/Q Change                     | 12.0%         | 9.3%     | 2.7%     |           |                |           |
| <b>Gross Margin (excl SBC)</b> | 61.0%         | 71.0%    | -10.0%   | 71.1%     | 72.0%          | 72.0%     |
| <b>Op Margin (excl SBC)</b>    | 52.5%         | 62.3%    | -9.8%    |           |                |           |
| <b>Proforma EPS (excl SBC)</b> | \$0.81        | \$0.93   | (\$0.12) | \$0.88    | \$0.99         | \$1.01    |

Source: Company reports and J.P. Morgan estimates

**Table 2: Reporting Segment Summary for F1Q26 (vs. F4Q25)**

\$ in millions

|                                 | F4Q25           | F1Q26           | Q/Q        | Y/Y        | % of Revs |
|---------------------------------|-----------------|-----------------|------------|------------|-----------|
| <b>Graphic</b>                  | \$3,295         | \$4,473         | 36%        | 33%        | 10%       |
| <b>Compute &amp; Networking</b> | \$36,036        | \$39,589        | 10%        | 75%        | 90%       |
| <b>Total</b>                    | <b>\$39,331</b> | <b>\$44,062</b> | <b>12%</b> | <b>69%</b> |           |

Source: Company reports

**Table 3: End Market Segment Summary for F1Q26 (vs. F4Q25)**

\$ in millions

|                   | F4Q25           | F1Q26           | Q/Q        | Y/Y        | % of Revs |
|-------------------|-----------------|-----------------|------------|------------|-----------|
| <b>PC OEM</b>     | \$126           | \$111           | -12%       | 42%        | 0%        |
| <b>PC Gaming</b>  | \$2,544         | \$3,763         | 48%        | 42%        | 9%        |
| <b>Pro Vis</b>    | \$511           | \$509           | 0%         | 19%        | 1%        |
| <b>Datacenter</b> | \$35,580        | \$39,112        | 10%        | 73%        | 89%       |
| <b>Automotive</b> | \$570           | \$567           | -1%        | 72%        | 1%        |
| <b>Total</b>      | <b>\$39,331</b> | <b>\$44,062</b> | <b>12%</b> | <b>69%</b> |           |

Source: Company reports

## Balance Sheet and Cash Flow

During the Apr-Qtr, the company generated cash flow from operations of \$27.4B (vs. \$16.6B in the Jan-Qtr) and exited the quarter with \$53.7B in cash, cash equivalents, and marketable securities (vs. \$43.2B in the Jan-Qtr).

## Appendix I: Comp and Group Valuation

Table 4: Semiconductor Comp and Group Valuation Table

|                                                                                  | JPM<br>Rating | Market<br>Cap | 5/28/25<br>Price | Non-GAAP EPS |         | P/E   |         | Revenues  |           | P/S  |      | Consensus<br>Non-GAAP EPS |         | Consensus<br>Sales |           | Consensus<br>P/E |       | Consensus<br>P/S |      |
|----------------------------------------------------------------------------------|---------------|---------------|------------------|--------------|---------|-------|---------|-----------|-----------|------|------|---------------------------|---------|--------------------|-----------|------------------|-------|------------------|------|
|                                                                                  |               |               |                  | C24E         | C25E    | C24E  | C25E    | C24E      | C25E      | C24E | C25E | C24E                      | C25E    | C24E               | C25E      | C24E             | C25E  | C24E             | C25E |
| Harlan Sur, Lead Coverage<br>phone: 415-315-6700, email: harlan.sur@jpmchase.com |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| PC Semiconductors                                                                |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| INTC                                                                             | UW            | \$88,467      | \$20.37          | N/A          | \$0.01  | N/A   | 1,636.9 | \$53,101  | \$49,002  | 1.7  | 1.8  | (\$0.13)                  | \$0.32  | \$53,101           | \$50,531  | (156.7)          | 63.3  | 1.7              | 1.8  |
| NVDA                                                                             | OW            | \$3,317,809   | \$134.81         | \$2.99       | \$4.42  | 45.0  | 30.5    | \$130,497 | \$198,059 | 25.4 | 16.8 | \$2.87                    | \$4.29  | \$124,754          | \$192,233 | 47.0             | 31.5  | 26.6             | 17.3 |
| AMD                                                                              | N             | \$183,510     | \$112.86         | \$3.31       | \$4.00  | 34.1  | 28.2    | \$25,785  | \$31,660  | 7.1  | 5.8  | \$3.31                    | \$4.00  | \$25,785           | \$31,777  | 34.1             | 28.2  | 7.1              | 5.8  |
| Memory                                                                           |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| MIU                                                                              | OW            | \$108,010     | \$96.18          | \$4.01       | \$7.52  | 24.0  | 12.8    | \$29,094  | \$36,858  | 3.7  | 2.9  | \$4.39                    | \$7.87  | \$29,837           | \$38,335  | 21.9             | 12.2  | 3.6              | 2.8  |
| WDC                                                                              | NR            | \$18,741      | \$52.35          | \$5.60       | \$5.67  | 9.3   | 9.2     | \$15,568  | \$15,879  | 1.2  | 1.2  | \$5.62                    | \$5.63  | \$15,601           | \$9,816   | 9.3              | 9.3   | 1.2              | 1.9  |
| Enterprise/Networking/Datacenter Semiconductors                                  |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| MRVL                                                                             | OW            | \$56,833      | \$64.59          | \$1.57       | \$2.85  | 41.1  | 22.6    | \$5,767   | \$8,335   | 9.9  | 6.8  | \$1.52                    | \$2.73  | \$5,637            | \$8,050   | 42.4             | 23.7  | 10.1             | 7.1  |
| AVGO                                                                             | OW            | \$1,157,883   | \$239.43         | \$5.36       | \$7.21  | 44.7  | 33.2    | \$54,529  | \$67,124  | 21.2 | 17.2 | \$5.19                    | \$7.03  | \$53,544           | \$63,938  | 46.1             | 34.1  | 21.6             | 18.1 |
| ALAB                                                                             | OW            | \$15,009      | \$96.46          | \$0.72       | \$1.20  | 134.0 | 80.6    | \$385     | \$610     | 39.0 | 24.6 | \$0.84                    | \$1.36  | \$396              | \$703     | 114.8            | 71.1  | 37.9             | 21.4 |
| Mobile Devices                                                                   |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| SWKS                                                                             | N             | \$11,079      | \$69.77          | \$5.91       | \$4.47  | 11.8  | 15.6    | \$4,045   | \$3,680   | 2.7  | 3.0  | \$5.91                    | \$4.61  | \$4,045            | \$3,701   | 11.8             | 15.1  | 2.7              | 3.0  |
| QRVO                                                                             | UW            | \$7,144       | \$75.91          | \$5.75       | \$5.47  | 13.2  | 13.9    | \$3,790   | \$3,583   | 1.9  | 2.0  | \$5.75                    | \$5.53  | \$3,791            | \$3,605   | 13.2             | 13.7  | 1.9              | 2.0  |
| IoT                                                                              |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| SLAB                                                                             | OW            | \$4,007       | \$123.41         | N/A          | \$0.70  | N/A   | 177.2   | \$584     | \$798     | 6.9  | 5.0  | (\$1.71)                  | \$0.64  | \$584              | \$787     | (72.3)           | 194.0 | 6.9              | 5.1  |
| SYNA                                                                             | OW            | \$2,288       | \$58.66          | \$2.91       | \$3.97  | 20.1  | 14.8    | \$1,010   | \$1,119   | 2.3  | 2.0  | \$2.90                    | \$4.07  | \$1,010            | \$1,125   | 20.2             | 14.4  | 2.3              | 2.0  |
| Analog/Microcontrollers                                                          |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| TXN                                                                              | OW            | \$168,681     | \$184.15         | \$5.20       | \$5.12  | 35.4  | 36.0    | \$15,641  | \$16,771  | 10.8 | 10.1 | \$5.20                    | \$5.48  | \$15,641           | \$17,301  | 35.4             | 33.6  | 10.8             | 9.7  |
| ADI                                                                              | OW            | \$107,422     | \$215.62         | \$6.28       | \$7.72  | 34.3  | 27.9    | \$9,338   | \$10,913  | 11.5 | 9.8  | \$6.31                    | \$7.65  | \$9,367            | \$10,867  | 34.2             | 28.2  | 11.5             | 9.9  |
| NXPI                                                                             | N             | \$50,037      | \$196.21         | N/A          | N/A     | N/A   | N/A     | \$12,614  | \$11,706  | 4.0  | 4.3  | \$13.09                   | \$11.41 | \$12,614           | \$11,927  | 15.0             | 17.2  | 4.0              | 4.2  |
| MXCP                                                                             | OW            | \$30,925      | \$57.46          | \$1.77       | \$1.07  | 32.6  | 53.6    | \$4,757   | \$4,319   | 6.5  | 7.2  | \$1.76                    | \$1.03  | \$4,757            | \$4,301   | 32.6             | 55.6  | 6.5              | 7.2  |
| Diversified/Consumer/Standard Components/Other                                   |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| ON                                                                               | N             | \$18,051      | \$42.85          | \$3.98       | \$2.22  | 10.8  | 19.3    | \$7,082   | \$5,861   | 2.5  | 3.1  | \$3.98                    | \$2.29  | \$7,082            | \$5,911   | 10.8             | 18.7  | 2.5              | 3.1  |
| VSH                                                                              | N             | \$1,920       | \$14.14          | \$0.48       | \$0.05  | 29.8  | 304.4   | \$2,938   | \$2,950   | 11.8 | 9.4  | \$0.48                    | \$0.25  | \$2,938            | \$3,028   | 29.5             | 57.0  | 0.7              | 0.6  |
| MTSI                                                                             | N             | \$9,296       | \$122.74         | \$2.76       | \$3.55  | 44.4  | 34.6    | \$791     | \$993     | 11.8 | 9.4  | \$2.77                    | \$3.63  | \$791              | \$998     | 44.3             | 33.8  | 11.8             | 9.3  |
| Foundries                                                                        |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| GFS                                                                              | N             | \$20,464      | \$36.74          | \$1.56       | \$1.58  | 23.5  | 23.2    | \$6,750   | \$6,779   | 3.0  | 3.0  | \$1.56                    | \$1.59  | \$6,750            | \$6,900   | 23.6             | 23.2  | 3.0              | 3.0  |
| OSAT                                                                             |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| AMKR                                                                             | OW            | \$4,580       | \$18.48          | \$1.37       | \$1.81  | 13.5  | 10.2    | \$6,339   | \$6,659   | 0.7  | 31.7 | \$1.43                    | \$1.07  | \$6,318            | \$6,210   | 12.9             | 17.3  | 0.7              | 0.7  |
| Semiconductor Capital Equipment                                                  |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| AMAT                                                                             | OW            | \$131,211     | \$161.59         | \$8.90       | \$9.50  | 18.2  | 17.0    | \$27,635  | \$28,950  | 4.7  | 4.5  | \$8.83                    | \$9.54  | \$27,482           | \$28,945  | 18.3             | 16.9  | 4.8              | 4.5  |
| LRCX                                                                             | OW            | \$108,200     | \$84.00          | \$3.37       | \$3.98  | 25.0  | 21.1    | \$16,209  | \$18,520  | 6.7  | 5.8  | \$3.36                    | \$4.22  | \$16,209           | \$18,887  | 25.0             | 19.9  | 6.7              | 5.7  |
| KLAC                                                                             | OW            | \$103,643     | \$777.50         | \$27.39      | \$32.62 | 28.4  | 23.8    | \$10,847  | \$12,137  | 9.6  | 8.5  | \$27.39                   | \$33.12 | \$10,847           | \$12,264  | 28.4             | 23.5  | 9.6              | 8.5  |
| MKSI                                                                             | OW            | \$5,774       | \$85.29          | \$6.57       | \$5.92  | 13.0  | 14.4    | \$3,586   | \$3,632   | 1.6  | 1.6  | \$6.58                    | \$6.79  | \$3,586            | \$3,757   | 13.0             | 12.6  | 1.6              | 1.5  |
| Chip Design Automation Software                                                  |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
| ARM                                                                              | OW            | \$144,350     | \$135.54         | \$1.44       | \$1.72  | 94.1  | 78.7    | \$3,694   | \$4,561   | 39.1 | 31.7 | \$1.45                    | \$1.72  | \$3,694            | \$4,577   | 93.5             | 78.6  | 39.1             | 31.5 |
| CDNS                                                                             | OW            | \$78,973      | \$288.61         | \$5.97       | \$6.78  | 48.3  | 42.6    | \$4,641   | \$5,190   | 17.0 | 15.2 | \$5.97                    | \$6.78  | \$4,641            | \$5,210   | 48.3             | 42.5  | 17.0             | 15.2 |
| SNPS                                                                             | OW            | \$72,180      | \$462.43         | \$12.85      | \$15.91 | 36.0  | 29.1    | \$6,072   | \$7,049   | 11.9 | 10.2 | \$13.04                   | \$15.56 | \$6,136            | \$6,944   | 35.5             | 29.7  | 11.8             | 10.4 |
| Large Cap Semi Average                                                           |               |               |                  |              |         |       |         |           |           |      |      |                           |         |                    |           |                  |       |                  |      |
|                                                                                  |               |               |                  |              |         | 34.9  | 209.4   |           |           | 10.5 | 8.8  |                           |         | 14.2               | 33.0      | 10.7             | 8.9   |                  |      |
| Small-Mid Cap Semi Average                                                       |               |               |                  |              |         | 22.2  | 93.9    |           |           | 6.1  | 5.1  |                           |         | 6.4                | 55.0      | 4.2              | 3.6   |                  |      |
| Semi Group Average (ex-outliers)                                                 |               |               |                  |              |         | 29.2  | 185.1   |           |           | 7.6  | 6.7  |                           |         | 14.0               | 32.1      | 6.8              | 6.1   |                  |      |
| SOX Index                                                                        |               |               | 4,834            | 194          | 249     | 25.0  | 19.4    |           |           | 5.8  | 5.2  |                           |         | 25.0               | 19.4      | 5.8              | 5.2   |                  |      |
| S&P500                                                                           |               |               | 5,889            | 260          | 293     | 22.7  | 20.1    |           |           | 3.0  | 2.8  |                           |         | 22.7               | 20.1      | 3.0              | 2.8   |                  |      |

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Prices as of market close 05/28/2025.

## Appendix II: Financial Tables

Table 5: NVIDIA Income Statement

\$ in millions, except per share data

| \$M                                | C23    | Apr-24 | Jul-24 | Oct-24 | Jan-25 | C24     | Apr-25 | Jul-25 | Oct-25 | Jan-26 | C25     | Apr-26 | Jul-26 | Oct-26 | Jan-27 | C26     |
|------------------------------------|--------|--------|--------|--------|--------|---------|--------|--------|--------|--------|---------|--------|--------|--------|--------|---------|
| FY end: Jan.                       | F24E   | 1Q25   | 2Q25   | 3Q25   | 4Q25   | F25E    | 1Q26   | 2Q26E  | 3Q26E  | 4Q26E  | F26E    | 1Q26E  | 2Q26E  | 3Q26E  | 4Q26E  | F27E    |
| Total revenue                      | 60,922 | 26,044 | 30,040 | 35,082 | 39,331 | 130,497 | 44,062 | 45,000 | 51,440 | 56,069 | 196,571 | 55,765 | 56,700 | 58,175 | 59,248 | 229,888 |
| % Change Y/Y                       | 125.9% | 262.1% | 122.4% | 93.6%  | 77.9%  | 114.2%  | 69.2%  | 49.8%  | 46.6%  | 42.6%  | 50.6%   | 26.6%  | 26.0%  | 13.1%  | 5.7%   | 16.9%   |
| % Change Q/Q                       |        | 17.8%  | 15.3%  | 16.8%  | 12.1%  |         | 12.0%  | 2.1%   | 14.3%  | 9.0%   |         | -0.5%  | 1.7%   | 2.6%   | 1.8%   |         |
| Cost of goods sold                 | 16,621 | 5,638  | 7,466  | 8,926  | 10,608 | 32,638  | 17,394 | 12,690 | 13,889 | 14,298 | 58,270  | 13,941 | 14,061 | 14,253 | 14,516 | 56,771  |
| % Change Y/Y                       | 43.1%  | 121.6% | 84.6%  | 89.1%  | 99.7%  | 96.4%   | 208.5% | 70.0%  | 55.6%  | 34.8%  | 78.5%   | -19.8% | 10.8%  | 2.6%   | 1.5%   | -2.6%   |
| % Change Q/Q                       |        | 6.1%   | 32.4%  | 19.6%  | 18.8%  |         | 64.0%  | -27.0% | 9.4%   | 2.9%   |         | -2.5%  | 0.9%   | 1.4%   | 1.8%   |         |
| Non-GAAP Gross margin (ex SBC)     | 72.9%  | 78.9%  | 75.7%  | 75.0%  | 73.5%  | 75.1%   | 61.0%  | 72.0%  | 73.1%  | 74.6%  | 70.5%   | 75.1%  | 75.3%  | 75.6%  | 75.6%  | 75.4%   |
| GAAP Gross margin                  | 72.7%  | 78.4%  | 75.1%  | 74.6%  | 73.0%  | 75.0%   | 60.5%  | 71.8%  | 73.0%  | 74.5%  | 70.4%   | 75.0%  | 75.2%  | 75.5%  | 75.5%  | 75.3%   |
| R&D                                | 8,674  | 2,720  | 3,090  | 3,390  | 3,714  | 12,914  | 3,989  | 4,468  | 4,557  | 4,603  | 17,616  | 4,649  | 4,742  | 4,836  | 4,933  | 19,160  |
| % Total revenue                    | 14.2%  | 10.4%  | 10.3%  | 9.7%   | 9.4%   | 9.9%    | 9.1%   | 9.9%   | 8.9%   | 8.2%   | 9.0%    | 8.3%   | 8.4%   | 8.3%   | 8.3%   | 8.3%    |
| SG&A (Adj.)                        | 2,558  | 756    | 816    | 858    | 932    | 3,362   | 1,004  | 1,232  | 1,250  | 1,269  | 4,755   | 1,269  | 1,295  | 1,320  | 1,347  | 5,231   |
| % Total revenue                    | 4.2%   | 2.9%   | 2.7%   | 2.4%   | 2.4%   | 2.6%    | 2.3%   | 2.7%   | 2.4%   | 2.3%   | 2.4%    | 2.3%   | 2.3%   | 2.3%   | 2.3%   | 2.3%    |
| Operating income                   | 33,069 | 16,930 | 18,668 | 21,908 | 24,077 | 81,583  | 21,675 | 26,610 | 31,744 | 35,900 | 115,929 | 35,906 | 36,602 | 37,765 | 38,452 | 148,726 |
| % Total revenue                    | 54.3%  | 65.0%  | 62.1%  | 62.4%  | 61.2%  | 62.5%   | 49.2%  | 59.1%  | 61.7%  | 64.0%  | 59.0%   | 64.4%  | 64.6%  | 64.9%  | 64.9%  | 64.7%   |
| Opex GAAP                          | 3497   | 3932   | 4287   | 4689   |        |         | 5030   | 5700   | 5807   | 5872   |         | 5918   | 6036   | 6157   | 6280   |         |
| Opex Non-GAAP                      | 7,824  | 2501   | 2792   | 3046   | 3378   | 11,717  | 3583   | 4000   | 4107   | 4172   | 15,862  | 4218   | 4336   | 4457   | 4580   | 17,591  |
| Opm % ex options                   | 60.1%  | 68.9%  | 66.0%  | 66.0%  | 64.6%  | 66.1%   | 52.5%  | 63.1%  | 65.2%  | 67.2%  | 62.4%   | 67.6%  | 67.7%  | 68.0%  | 67.9%  | 67.8%   |
| Interest/Other Expense             | 611    | 302    | 380    | 411    | 457    | 1,550   | 448    | 450    | 450    | 450    | 1,798   | 400    | 400    | 400    | 400    | 1,600   |
| Pretax income                      | 33,680 | 17,232 | 19,048 | 22,319 | 24,534 | 83,133  | 22,123 | 27,060 | 32,194 | 36,350 | 117,727 | 36,306 | 37,002 | 38,165 | 38,852 | 150,326 |
| % Total revenue                    | 55.3%  | 66.2%  | 63.4%  | 63.6%  | 62.4%  | 63.7%   | 50.2%  | 60.1%  | 62.6%  | 64.8%  | 59.9%   | 65.1%  | 65.3%  | 65.6%  | 65.6%  | 65.4%   |
| Income tax                         | 4,059  | 2,398  | 2,615  | 3,007  | 3,126  | 11,146  | 3,135  | 4,465  | 5,312  | 5,998  | 18,910  | 5,991  | 6,105  | 6,297  | 6,411  | 24,804  |
| Tax rate                           | 12.1%  | 13.9%  | 13.7%  | 13.5%  | 12.7%  | 13.4%   | 14.2%  | 16.5%  | 16.5%  | 16.5%  | 16.1%   | 16.5%  | 16.5%  | 16.5%  | 16.5%  | 16.5%   |
| Net income (non-GAAP)              | 32,312 | 15,238 | 16,952 | 20,010 | 22,066 | 74,266  | 19,894 | 24,178 | 28,465 | 31,935 | 104,473 | 31,899 | 32,480 | 33,451 | 34,025 | 131,855 |
| % Total revenue                    | 48.6%  | 57.0%  | 54.7%  | 55.0%  | 54.4%  | 55.2%   | 43.1%  | 50.2%  | 52.3%  | 54.1%  | 50.3%   | 54.4%  | 54.5%  | 54.8%  | 54.8%  | 54.6%   |
| Avg. No. of Diluted Shr            | 24,933 | 24,890 | 24,848 | 24,774 | 24,489 | 24,750  | 24,441 | 24,441 | 24,441 | 24,441 | 24,441  | 24,441 | 24,441 | 24,441 | 24,441 | 24,441  |
| Avg. No. of Diluted Shr (non-GAAP) | 24,933 | 24,890 | 24,848 | 24,774 | 24,706 | 24,805  | 24,611 | 24,441 | 24,441 | 24,441 | 24,484  | 24,441 | 24,441 | 24,441 | 24,441 | 24,441  |
| Convertible Adjustment             |        |        |        |        |        |         |        |        |        |        |         |        |        |        |        |         |
| EPS (Non-GAAP)                     | \$1.30 | \$0.61 | \$0.68 | \$0.81 | \$0.89 | \$2.99  | \$0.81 | \$0.99 | \$1.16 | \$1.31 | \$4.27  | \$1.31 | \$1.33 | \$1.37 | \$1.39 | \$5.39  |
| % Change Y/Y                       | 288.4% | 461.9% | 153.0% | 101.0% | 73.2%  | 131.0%  | 32.0%  | 45.0%  | 44.2%  | 46.3%  | 42.5%   | 61.5%  | 34.3%  | 17.5%  | 6.5%   | 26.4%   |
| % Change Q/Q                       |        | 18.7%  | 11.4%  | 18.4%  | 10.6%  |         | -9.5%  | 22.4%  | 17.7%  | 12.2%  |         | -0.1%  | 1.8%   | 3.0%   | 1.7%   |         |

Source: Company reports and J.P. Morgan estimates

Table 6: NVIDIA Balance Sheet

\$ in millions, except per share data

|                                                 | Jan'24        | Apr'24        | Jul'24        | Oct'24        | Jan'25         | Apr'25         | Jul'25         | Oct'25         | Jan'26         | Apr'25         | Jul'25         | Oct'25         | Jan'26         |
|-------------------------------------------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| FY End: Jan.                                    | 4Q24          | 1Q25          | 2Q25          | 3Q25          | 4Q25           | 1Q26           | 2Q26E          | 3Q26E          | 4Q26E          | 1Q26E          | 2Q26E          | 3Q26E          | 4Q26E          |
| <b>Assets</b>                                   |               |               |               |               |                |                |                |                |                |                |                |                |                |
| Cash and ST investment                          | 25,984        | 31,438        | 34,800        | 38,487        | 43,210         | 53,691         | 74,875         | 94,914         | 120,590        | 151,296        | 179,372        | 208,701        | 238,827        |
| Accounts receivable                             | 9,999         | 12,365        | 14,132        | 17,693        | 23,065         | 22,132         | 23,278         | 27,196         | 29,965         | 29,055         | 29,787         | 30,680         | 31,226         |
| Inventories                                     | 5,282         | 5,864         | 6,675         | 7,654         | 10,080         | 11,333         | 10,638         | 11,450         | 11,669         | 10,910         | 11,465         | 11,540         | 11,699         |
| Prepaid and other                               | 3,080         | 4,062         | 4,026         | 3,806         | 3,771          | 2,779          | 2,779          | 2,779          | 2,779          | 2,779          | 2,779          | 2,779          | 2,779          |
| <b>Total current assets</b>                     | <b>44,345</b> | <b>53,729</b> | <b>59,633</b> | <b>67,640</b> | <b>80,126</b>  | <b>89,935</b>  | <b>111,570</b> | <b>136,338</b> | <b>165,002</b> | <b>194,040</b> | <b>223,403</b> | <b>253,699</b> | <b>284,531</b> |
| PP&E, net                                       | 3,914         | 4,006         | 4,885         | 5,343         | 6,283          | 7,136          | 8,257          | 9,378          | 10,499         | 11,620         | 12,741         | 13,862         | 14,983         |
| Deposits and other                              | 11,927        | 13,898        | 15,135        | 17,468        | 19,197         | 21,916         | 21,916         | 21,916         | 21,916         | 21,916         | 21,916         | 21,916         | 21,916         |
| Goodwill                                        | 4,430         | 4,453         | 4,622         | 4,724         | 5,188          | 5,498          | 5,498          | 5,498          | 5,498          | 5,498          | 5,498          | 5,498          | 5,498          |
| Intangible assets                               | 1,112         | 986           | 952           | 838           | 807            | 769            | 769            | 769            | 769            | 769            | 769            | 769            | 769            |
| <b>Total assets</b>                             | <b>65,728</b> | <b>77,072</b> | <b>85,227</b> | <b>96,013</b> | <b>111,601</b> | <b>125,254</b> | <b>148,010</b> | <b>173,899</b> | <b>203,684</b> | <b>233,843</b> | <b>264,327</b> | <b>295,744</b> | <b>327,697</b> |
| <b>Liabilities</b>                              |               |               |               |               |                |                |                |                |                |                |                |                |                |
| Accounts payable                                | 2,699         | 2,715         | 3,680         | 5,353         | 6,310          | 7,331          | 6,822          | 7,467          | 7,687          | 7,495          | 7,560          | 7,663          | 7,804          |
| Accrued liabilities                             | 6,682         | 11,258        | 10,289        | 11,126        | 11,737         | 19,211         | 19,211         | 19,211         | 19,211         | 19,211         | 19,211         | 19,211         | 19,211         |
| Short-term Debt                                 | 1,250         | 1,250         |               |               |                |                |                |                |                |                |                |                |                |
| Deferred revenue                                |               |               |               |               |                |                |                |                |                |                |                |                |                |
| <b>Total current liabilities</b>                | <b>10,631</b> | <b>15,223</b> | <b>13,969</b> | <b>16,479</b> | <b>18,047</b>  | <b>26,542</b>  | <b>26,033</b>  | <b>26,678</b>  | <b>26,898</b>  | <b>26,706</b>  | <b>26,771</b>  | <b>26,874</b>  | <b>27,015</b>  |
| Capital lease obligations                       | 0             | 0             | 0             | 0             | 0              | 0              | 0              | 0              | 0              | 0              | 0              | 0              | 0              |
| Long-term Debt                                  | 8,459         | 8,460         | 8,461         | 8,462         | 8,463          | 8,464          | 8,464          | 8,464          | 8,464          | 8,464          | 8,464          | 8,464          | 8,464          |
| Long-term liabilities                           | 3,660         | 4,247         | 4,640         | 5,173         | 5,764          | 6,405          | 6,405          | 6,405          | 6,405          | 6,405          | 6,405          | 6,405          | 6,405          |
| <b>Total liabilities</b>                        | <b>22,750</b> | <b>27,930</b> | <b>27,070</b> | <b>30,114</b> | <b>32,274</b>  | <b>41,411</b>  | <b>40,902</b>  | <b>41,547</b>  | <b>41,767</b>  | <b>41,575</b>  | <b>41,640</b>  | <b>41,743</b>  | <b>41,884</b>  |
| <b>Total stockholders' equity</b>               | <b>42,978</b> | <b>49,142</b> | <b>58,157</b> | <b>65,899</b> | <b>79,327</b>  | <b>83,843</b>  | <b>107,108</b> | <b>132,353</b> | <b>161,917</b> | <b>192,268</b> | <b>222,688</b> | <b>254,002</b> | <b>285,813</b> |
| <b>Total liability and stockholders' equity</b> | <b>65,728</b> | <b>77,072</b> | <b>85,227</b> | <b>96,013</b> | <b>111,601</b> | <b>125,254</b> | <b>148,010</b> | <b>173,899</b> | <b>203,684</b> | <b>233,843</b> | <b>264,327</b> | <b>295,744</b> | <b>327,697</b> |

Source: Company reports and J.P. Morgan estimates



Table 7: NVIDIA Cash Flow Statement

\$ in millions

| FY End: Jan.                                   | Apr'23       | Jul'23         | Oct'23         | Jan'24         | Apr'24         | Jul'24          | Oct'24          | Jan'25         | Apr'25          | Jul'25         | Oct'25         | Jan'26         | Apr'25         | Jul'25         | Oct'25         | Jan'26         |
|------------------------------------------------|--------------|----------------|----------------|----------------|----------------|-----------------|-----------------|----------------|-----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                                | 1Q24         | 2Q24           | 3Q24           | 4Q24           | 1Q25           | 2Q25            | 3Q25            | 4Q25           | 1Q26            | 2Q26E          | 3Q26E          | 4Q26E          | 1Q26E          | 2Q26E          | 3Q26E          | 4Q26E          |
| <b>Net income (GAAP)</b>                       | 2,043        | 6,188          | 9,243          | 12,285         | 14,881         | 16,599          | 19,309          | 22,091         | 18,775          | 22,595         | 26,882         | 30,352         | 30,316         | 30,897         | 31,868         | 32,441         |
| Depreciation and amortization                  | 384          | 365            | 372            | 387            | 410            | 433             | 478             | 543            | 611             | 106            | 106            | 106            | 106            | 106            | 106            | 106            |
| Stock-based compensation                       | 735          | 842            | 979            | 993            | 1,011          | 1,154           | 1,252           | 1,321          | 1,474           | 1,896          | 1,896          | 1,896          | 1,896          | 1,896          | 1,896          | 1,896          |
| Allowance for doubtful accounts                |              |                |                |                |                |                 |                 |                |                 |                |                |                |                |                |                |                |
| Excess tax benefits from stock comp            |              |                |                |                |                |                 |                 |                |                 |                |                |                |                |                |                |                |
| Other adjustments                              | (1,155)      | (69)           | 3              | (447)          | (1,791)        | (144)           | (116)           | (1,463)        | (2,100)         |                |                |                |                |                |                |                |
| <b>Change in working capital</b>               |              |                |                |                |                |                 |                 |                |                 |                |                |                |                |                |                |                |
| Change in Receivables                          | (252)        | (2,986)        | (1,243)        | (1,690)        | (2,366)        | (1,767)         | (3,561)         | (5,370)        | 933             | (1,146)        | (3,918)        | (2,769)        | 910            | (733)          | (892)          | (546)          |
| Changes in Inventory                           | 566          | 296            | (457)          | (503)          | (577)          | (803)           | (978)           | (2,424)        | (1,258)         | 695            | (812)          | (219)          | 758            | (555)          | (74)           | (159)          |
| Prepaid expenses and other assets              | (215)        | (376)          | 254            | (1,184)        | (726)          | 714             | (714)           | 331            | 560             | 0              | 0              | 0              | 0              | 0              | 0              | 0              |
| Deposits and other assets                      |              |                |                |                |                |                 |                 |                |                 |                |                |                |                |                |                |                |
| Accounts payable                               | 11           | 777            | 461            | 281            | (22)           | 823             | 1,689           | 867            | 941             | 509            | (645)          | (220)          | 192            | (65)           | (103)          | (141)          |
| Accrued liabilities and other liabilities      | 689          | 1,986          | (1,722)        | 1,072          | 4,202          | (888)           | 606             | 360            | 7,128           | 0              | 0              | 0              | 0              | 0              | 0              | 0              |
| Other liabilities                              | 105          | (675)          | (557)          | 305            | 323            | (1,632)         | (336)           | 372            | 350             |                |                |                |                |                |                |                |
| <b>Cash Flow from operations</b>               | <b>2,911</b> | <b>6,348</b>   | <b>7,333</b>   | <b>11,499</b>  | <b>15,345</b>  | <b>14,489</b>   | <b>17,629</b>   | <b>16,628</b>  | <b>27,414</b>   | <b>24,655</b>  | <b>23,510</b>  | <b>29,147</b>  | <b>34,177</b>  | <b>31,547</b>  | <b>32,801</b>  | <b>33,597</b>  |
| Purchases of marketable securities             | (2,801)      | (2,542)        | 2,891          |                | (9,303)        | (5,744)         | 1,386           | (7,010)        | (6,546)         |                |                |                |                |                |                |                |
| Sales and maturities of marketable securities  | 2,512        | 2,598          | (5,345)        | (5,743)        | 4,153          | 4,109           | (4,364)         | 1,887          | 3,589           |                |                |                |                |                |                |                |
| Purchases of PP&E                              | (248)        | (289)          | (278)          | (253)          | (369)          | (977)           | (813)           | (1,077)        | (1,227)         | (1,227)        | (1,227)        | (1,227)        | (1,227)        | (1,227)        | (1,227)        | (1,227)        |
| Acquisition, net of cash acquired              | (83)         | 0              | 0              | 0              | (39)           | (279)           | (147)           | (542)          | (383)           |                |                |                |                |                |                |                |
| Other Investing Activities                     | (221)        | (214)          | (437)          | (113)          | (135)          | (294)           | (407)           | (456)          | (649)           |                |                |                |                |                |                |                |
| <b>Cash flow from investments</b>              | <b>(841)</b> | <b>(447)</b>   | <b>(3,169)</b> | <b>(6,109)</b> | <b>(5,693)</b> | <b>(3,185)</b>  | <b>(4,345)</b>  | <b>(7,198)</b> | <b>(5,216)</b>  | <b>(1,227)</b> | <b>(1,227)</b> | <b>(1,227)</b> | <b>(1,227)</b> | <b>(1,227)</b> | <b>(1,227)</b> | <b>(1,227)</b> |
| Common stock issued under employee stock plans | 246          | 1              | 156            |                | 285            | 0               | 204             | 0              | 370             | 0              | 0              | 0              | 0              | 0              | 0              | 0              |
| Issue/Repurchase of common stock               | 0            | (3,067)        | (3,806)        | (2,660)        | (7,740)        | (7,158)         | (10,998)        | (7,810)        | (14,095)        | (2,000)        | (2,000)        | (2,000)        | (2,000)        | (2,000)        | (2,000)        | (2,000)        |
| Principal payments on capital leases           |              |                | 0              |                |                |                 | 0               |                |                 |                |                |                |                |                |                |                |
| Debt proceeds/borrowings                       | 0            | (1,250)        |                | (29)           | 0              | (1,250)         |                 |                | 0               |                |                |                |                |                |                |                |
| Excess tax benefits from stock comp            |              | (672)          | (764)          | (841)          |                | (1,637)         | (1,680)         | (1,861)        |                 |                |                |                |                |                |                |                |
| Dividends paid                                 | (99)         | (99)           | (99)           | (99)           | (98)           | (246)           | (245)           | (245)          | (244)           | (244)          | (244)          | (244)          | (244)          | (244)          | (244)          | (244)          |
| Other financing activities                     | (527)        | (11)           | (14)           |                | (1,792)        | (29)            | (29)            | (32)           | (1,584)         |                |                |                |                |                |                |                |
| <b>Cash flow from financing</b>                | <b>(380)</b> | <b>(5,098)</b> | <b>(4,527)</b> | <b>(3,629)</b> | <b>(9,345)</b> | <b>(10,320)</b> | <b>(12,748)</b> | <b>(9,948)</b> | <b>(15,553)</b> | <b>(2,244)</b> | <b>(2,244)</b> | <b>(2,244)</b> | <b>(2,244)</b> | <b>(2,244)</b> | <b>(2,244)</b> | <b>(2,244)</b> |
| <b>Cash at beginning of period</b>             | <b>3,389</b> | <b>5,079</b>   | <b>5,882</b>   | <b>5,519</b>   | <b>7,280</b>   | <b>7,587</b>    | <b>8,571</b>    | <b>9,107</b>   | <b>8,589</b>    | <b>15,234</b>  | <b>36,418</b>  | <b>56,457</b>  | <b>82,133</b>  | <b>112,839</b> | <b>140,915</b> | <b>170,244</b> |
| Net change in cash and equivalents             | 1,690        | 803            | (363)          | 1,761          | 307            | 984             | 536             | (518)          | 6,645           | 21,184         | 20,039         | 25,676         | 30,706         | 28,076         | 29,330         | 30,126         |
| <b>Cash at end of period</b>                   | <b>5,079</b> | <b>5,882</b>   | <b>5,519</b>   | <b>7,280</b>   | <b>7,587</b>   | <b>8,571</b>    | <b>9,107</b>    | <b>8,589</b>   | <b>15,234</b>   | <b>36,418</b>  | <b>56,457</b>  | <b>82,133</b>  | <b>112,839</b> | <b>140,915</b> | <b>170,244</b> | <b>200,370</b> |

Source: Company reports and J.P. Morgan estimate

## Investment Thesis, Valuation and Risks

### **NVIDIA Corporation** (*Overweight; Price Target: \$170.00*)

#### **Investment Thesis**

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in shares, driving our Overweight rating.

#### **Valuation**

Our Dec-25 PT of \$170 assumes that NVIDIA trades at a 30x our Dec-25 PT of \$170 assumes the stock trades at 30-35x \$5.39 of earnings power in CY26. Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

#### **Risks to Rating and Price Target**

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.



## NVIDIA Corporation: Summary of Financials

| Income Statement - Annual           |          |          |           |           |       | Income Statement - Quarterly |           |          |          |          |       |
|-------------------------------------|----------|----------|-----------|-----------|-------|------------------------------|-----------|----------|----------|----------|-------|
|                                     | FY24A    | FY25A    | FY26E     | FY27E     | FY28E |                              | 1Q26A     | 2Q26E    | 3Q26E    | 4Q26E    |       |
| Revenue                             | 60,922   | 130,497  | 196,571   | 229,888   | -     | Revenue                      | 44,062A   | 45,000   | 51,440   | 56,069   | -     |
| COGS                                | (16,621) | (32,638) | (58,270)  | (56,771)  | -     | COGS                         | (17,394)A | (12,690) | (13,889) | (14,298) | -     |
| Gross profit                        | 44,301   | 97,859   | 138,301   | 173,116   | -     | Gross profit                 | 26,668A   | 32,310   | 37,552   | 41,772   | -     |
| SG&A                                | (2,558)  | (3,362)  | (4,755)   | (5,231)   | -     | SG&A                         | (1,004)A  | (1,232)  | (1,250)  | (1,269)  | -     |
| Adj. EBITDA                         | 33,493   | 82,007   | 116,353   | 149,150   | -     | Adj. EBITDA                  | 21,781A   | 26,716   | 31,850   | 36,006   | -     |
| D&A                                 | (424)    | (424)    | (424)     | (424)     | -     | D&A                          | (106)A    | (106)    | (106)    | (106)    | -     |
| Adj. EBIT                           | 33,069   | 81,583   | 115,929   | 148,726   | -     | Adj. EBIT                    | 21,675A   | 26,610   | 31,744   | 35,900   | -     |
| Net Interest                        | -        | -        | -         | -         | -     | Net Interest                 | -         | -        | -        | -        | -     |
| Adj. PBT                            | 33,680   | 83,133   | 117,727   | 150,326   | -     | Adj. PBT                     | 22,123A   | 27,060   | 32,194   | 36,350   | -     |
| Tax                                 | (4,059)  | (11,146) | (18,910)  | (24,804)  | -     | Tax                          | (3,135)A  | (4,465)  | (5,312)  | (5,998)  | -     |
| Minority Interest                   | -        | -        | -         | -         | -     | Minority Interest            | -         | -        | -        | -        | -     |
| Adj. Net Income                     | 32,312   | 74,266   | 104,473   | 131,855   | -     | Adj. Net Income              | 19,894A   | 24,178   | 28,465   | 31,935   | -     |
| Reported EPS                        | 1.19     | 2.94     | 4.03      | 5.14      | -     | Reported EPS                 | 0.76A     | 0.92     | 1.10     | 1.24     | -     |
| Adj. EPS                            | 1.30     | 2.99     | 4.27      | 5.39      | -     | Adj. EPS                     | 0.81A     | 0.99     | 1.16     | 1.31     | -     |
| DPS                                 | 0.02     | 0.04     | 0.04      | 0.04      | -     | DPS                          | 0.01A     | 0.01     | 0.01     | 0.01     | -     |
| Payout ratio                        | 1.3%     | 1.4%     | 1.0%      | 0.8%      | -     | Payout ratio                 | 1.3%A     | 1.1%     | 0.9%     | 0.8%     | -     |
| Shares outstanding                  | 24,933   | 24,805   | 24,484    | 24,441    | -     | Shares outstanding           | 24,611A   | 24,441   | 24,441   | 24,441   | -     |
| Balance Sheet & Cash Flow Statement |          |          |           |           |       | Ratio Analysis               |           |          |          |          |       |
|                                     | FY24A    | FY25A    | FY26E     | FY27E     | FY28E |                              | FY24A     | FY25A    | FY26E    | FY27E    | FY28E |
| Cash and cash equivalents           | 25,984   | 43,210   | 120,590   | 238,827   | -     | Gross margin                 | 72.7%     | 75.0%    | 70.4%    | 75.3%    | -     |
| Accounts receivable                 | 9,999    | 23,065   | 29,965    | 31,226    | -     | EBITDA margin                | 55.0%     | 62.8%    | 59.2%    | 64.9%    | -     |
| Inventories                         | 5,282    | 10,080   | 11,669    | 11,699    | -     | EBIT margin                  | 54.3%     | 62.5%    | 59.0%    | 64.7%    | -     |
| Other current assets                | 3,080    | 3,771    | 2,779     | 2,779     | -     | Net profit margin            | 53.0%     | 56.9%    | 53.1%    | 57.4%    | -     |
| Current assets                      | 44,345   | 80,126   | 165,002   | 284,531   | -     | ROE                          | 99.3%     | 121.4%   | 86.6%    | 58.9%    | -     |
| PP&E                                | 3,914    | 6,283    | 10,499    | 14,983    | -     | ROA                          | 60.4%     | 83.8%    | 66.3%    | 49.6%    | -     |
| LT investments                      | -        | -        | -         | -         | -     | ROCE                         | 67.8%     | 100.6%   | 75.4%    | 53.5%    | -     |
| Other non current assets            | 17,469   | 25,192   | 28,183    | 28,183    | -     | SG&A/Sales                   | 4.2%      | 2.6%     | 2.4%     | 2.3%     | -     |
| Total assets                        | 65,728   | 111,601  | 203,684   | 327,697   | -     | Net debt/equity              | NM        | NM       | NM       | NM       | -     |
| Short term borrowings               | 1,250    | 0        | 0         | 0         | -     | P/E (x)                      | 104.0     | 45.0     | 31.6     | 25.0     | -     |
| Payables                            | 2,699    | 6,310    | 7,687     | 7,804     | -     | P/BV (x)                     | 78.2      | 42.2     | 20.4     | 11.5     | -     |
| Other short term liabilities        | 6,682    | 11,737   | 19,211    | 19,211    | -     | EV/EBITDA (x)                | 100.1     | 40.7     | 28.0     | 21.0     | -     |
| Current liabilities                 | 10,631   | 18,047   | 26,898    | 27,015    | -     | Dividend Yield               | 0.0%      | 0.0%     | 0.0%     | 0.0%     | -     |
| Long-term debt                      | 8,459    | 8,463    | 8,464     | 8,464     | -     | Sales/Assets (x)             | 1.1       | 1.5      | 1.2      | 0.9      | -     |
| Other long term liabilities         | 3,660    | 5,764    | 6,405     | 6,405     | -     | Interest cover (x)           | -         | -        | -        | -        | -     |
| Total liabilities                   | 22,750   | 32,274   | 41,767    | 41,884    | -     | Operating leverage           | 369.1%    | 128.5%   | 83.1%    | 166.9%   | -     |
| Shareholders' equity                | 42,978   | 79,327   | 161,917   | 285,813   | -     | Revenue y/y Growth           | 125.9%    | 114.2%   | 50.6%    | 16.9%    | -     |
| Minority interests                  | -        | -        | -         | -         | -     | EBITDA y/y Growth            | 433.2%    | 144.8%   | 41.9%    | 28.2%    | -     |
| Total liabilities & equity          | 65,728   | 111,601  | 203,684   | 327,697   | -     | Tax rate                     | 12.1%     | 13.4%    | 16.1%    | 16.5%    | -     |
| BVPS                                | 1.72     | 3.20     | 6.61      | 11.69     | -     | Adj. Net Income y/y Growth   | 286.3%    | 129.8%   | 40.7%    | 26.2%    | -     |
| y/y Growth                          | 95.6%    | 85.5%    | 106.8%    | 76.8%     | -     | EPS y/y Growth               | 288.4%    | 131.0%   | 42.5%    | 26.4%    | -     |
| Net debt/(cash)                     | (16,275) | (34,747) | (112,126) | (230,363) | -     | DPS y/y Growth               | 0.0%      | 150.0%   | 0.0%     | 0.0%     | -     |
| Cash flow from operating activities | 28,091   | 64,091   | 104,726   | 132,122   | -     |                              |           |          |          |          |       |
| o/w Depreciation & amortization     | 424      | 424      | 424       | 424       | -     |                              |           |          |          |          |       |
| o/w Changes in working capital      | (5,057)  | (11,877) | 130       | (1,408)   | -     |                              |           |          |          |          |       |
| Cash flow from investing activities | (10,566) | (20,421) | (8,897)   | (4,908)   | -     |                              |           |          |          |          |       |
| o/w Capital expenditure             | (1,068)  | (3,236)  | (4,908)   | (4,908)   | -     |                              |           |          |          |          |       |
| as % of sales                       | 1.8%     | 2.5%     | 2.5%      | 2.1%      | -     |                              |           |          |          |          |       |
| Cash flow from financing activities | (13,634) | (42,361) | (22,285)  | (8,976)   | -     |                              |           |          |          |          |       |
| o/w Dividends paid                  | (396)    | (834)    | (976)     | (976)     | -     |                              |           |          |          |          |       |
| o/w Net debt issued/(repaid)        | (1,279)  | (1,250)  | 0         | 0         | -     |                              |           |          |          |          |       |
| Net change in cash                  | 3,891    | 1,309    | 73,544    | 118,238   | -     |                              |           |          |          |          |       |
| Adj. Free cash flow to firm         | 27,023   | 60,855   | 99,818    | 127,214   | -     |                              |           |          |          |          |       |
| y/y Growth                          | 609.5%   | 125.2%   | 64.0%     | 27.4%     | -     |                              |           |          |          |          |       |

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jan. o/w - out of which

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NVIDIA Corporation (NVDA, NVDA US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

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